



National Culture and Management

What is the role of national culture in business and management? Do various cultures differ in their approaches to management, and if so, in what ways? What problems are encountered when doing business across cultures, and what can managers do about them?

These questions are becoming increasingly important as more and more business is conducted across national lines. Just a few years ago, only a small percentage of Americans had direct dealings with managers from other countries. But now, as many American firms have wholly-owned foreign affiliates, as others have been acquired by foreign firms, and as still others are participating in international joint ventures or strategic alliances, American managers are working directly with people from all over the world. For a growing number of managers, working in a cross-cultural environment is a fact of daily life.

Yet the relationship between culture and management is not clearly understood. At one extreme, some people doubt that culture has any impact on management at all. They find it easier to claim that human behavior is basically the same all over the world, that "business is business everywhere." This view, although convenient, is naive in that it fails to recognize that fundamental differences exist among people around the world. It may also be dangerous in that it does not alert managers to challenges they face in a cross-cultural setting.

At the other extreme, some people exaggerate the importance of culture, using it to explain almost everything that involves more than one country. For example, the superior performance of Japanese firms during the 1970s and 1980s was frequently attributed to some unspecified attribute of "Japanese culture," rather than to manufacturing practices or quality techniques or government policies that may have had little, if anything, to do with culture. Similarly, when frictions arise during negotiations between firms from different countries it is easy to blame "cultural difficulties," when in fact these same frictions may arise in almost any negotiations, whether domestic or international. Just because a conflict involves firms from different countries doesn't mean that the problem is cultural in nature.

Why should it be difficult to understand the relationship between culture and management? Part of the problem can be traced to a lack of clarity about the concept of "culture." Exactly what is culture, anyway? In what ways do cultures differ? If we cannot offer clear answers to these questions, our ability to speak meaningfully about culture will never advance far. A second problem

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lies in the tendency to assume that all members of a culture behave in an identical fashion—that is, to think in terms of cultural stereotypes. Many people are reluctant to address a topic that involves sweeping generalizations and therefore avoid the topic altogether. Finally, part of the problem lies in a lack of systematic thinking about the ways that culture is manifested in business settings. Even if we believe that cultures differ, and even if we avoid the pitfall of stereotypes, how do cultural differences affect managers? A useful treatment of culture and management should be able to relate culture, at a broad level, to specific aspects of management.

This note takes a systematic approach to the discussion of culture. It begins by offering a working definition of culture, and goes on to explore the many levels at which cultures exist. Next, it identifies some of the ways that national cultures differ by presenting the findings of two leading researchers, Edward Hall and Geert Hofstede. It then suggests a number of ways that these cultural traits are manifested in business settings, and offers some implications for practicing managers. Its goal is neither to deny nor to exaggerate the importance of culture in management, but to offer a systematic way of thinking about culture, and as a consequence, to provide a benefit to practicing managers.

Defining Culture

Culture is a complex concept and eludes a simple definition. Anthropologists, psychologists, sociologists, and organizational theorists have offered somewhat different definitions of culture. Although we cannot provide a single definition that is acceptable to all, we can offer a working definition of culture as *a shared system of meaning, ideas, and thought*. It is a code through which patterns of conduct are communicated and deciphered through the use of words, gestures, and objects. Culture is powerful because it guides our perception and understanding of the world, and in turn it shapes our behavior. One scholar has called culture the "software of the mind" because much like a computer's operating system it provides us with an essential code by which we make sense of the world.¹

Two leading scholars, John van Maanen and André Laurent, have described the pervasive role that culture plays in our lives:

[Culture] provides members with images of their basic concerns, principles, ethics and bodies of manners, rituals, ideologies, strategies and tactics of self-survival, including certain notions of good deeds and bad, various forms of folklore and legends, and a set of ideas that allows something of a 'consciousness of kind' to emerge such that the rough boundaries of demarcation can be drawn between (and among) members and nonmembers.²

Culture is acquired naturally early in life through interaction with others. Van Maanen and Laurent continue:

1. Hofstede, Geert, *Cultures and Organizations: Software of the Mind*, London: McGraw-Hill Book Company (Ltd.), 1991.

2. Van Maanen, John, and André Laurent, "The Flow of Culture: Some Notes on Globalization and the Multinational Corporation," in *Organization Theory and the Multinational Corporation*, Sumantra Ghoshal and D. Eleanor Westney, Eds., New York: St. Martin's Press, 1993.

The way we give logic to the world begins at birth with the gestures, words, tone of voice, noises, colors, smells, and body contact we experience; with the way we are raised, washed, rewarded, punished, held in check, toilet trained and fed; by the stories we are told, the games we play, the songs we sing or rhymes we recite; the schooling we receive, the jobs we hold, and the careers we follow; right down to the very way we sleep and dream. *Our culture is what is familiar, recognizable, habitual. It is 'what goes without saying.'*" (Emphasis added)

Most of the time we are not aware of our culture at all—what we do seems entirely normal. It is when cultures meet, when we find ourselves in contact with people from other cultures, that we become aware of its existence. At first we may only note that others are somehow "different." With time and practice, however, we may come to see what is distinctive in our own culture, and may learn that what we have long considered "normal" is only one of many ways to organize human experience.

The Scope of Culture

Some cultures are very broad in scope and include a great many people, while others are smaller, including relatively few people. At a very broad level, some cultures include large numbers of people on virtually all continents, such as Islamic culture and Buddhist culture. Members of these groups belong to a common culture in that they share a set of values and a system of meaning. Aside from cultures which have a basis in religion, we can think of other large, pan-national cultures, such as Hispanic culture, which includes the people of Spanish-speaking countries. Although citizens of, say, Argentina and Cuba are different in many ways, they share certain cultural traits owing to their common Hispanic roots. In the same way, gypsies, Arabs, and Scandinavians, are all examples of distinct cultural groups that span nations.

Very frequently we talk about culture as something shared by citizens of a nation, as in Mexican culture or Italian culture or Russian culture. Although cultural boundaries do not coincide perfectly with national boundaries, cultures and nations are often closely related. Some nation-states are the political manifestation of a culture: the French nation, for example, can be thought of as the political embodiment of French culture. Within nations, too, we can identify distinct cultures, such as French-speaking Québécois who share a common national culture with English-speaking fellow Canadians but in other ways are culturally distinct. Similarly, in many African nations there are important cultural differences among tribal groups, such as the Hausa, Yoruba, and Ibo tribes of Nigeria, and the Zulu and Xhosa in South Africa. The nation of India, with 865 million inhabitants, is composed of literally hundreds of distinct cultural groups. Citizens of the United States, too, share a common national culture but may also belong to distinct cultures according to their national origin, their ethnic groups, their religion, and so on.

At an even finer level, there are cultures (or perhaps more accurately, subcultures) comprised of people who share a common set of experiences or values. Artists, members of the armed forces, teenagers, residents of small towns, gays, lesbians, lawyers, students, and other groups share specific codes of meaning that make them culturally distinct. Corporations, too, have cultures of their own—IBM, Microsoft, and Hewlett-Packard might all be said to possess a distinct "corporate culture." By the same token, Harvard Business School is in some ways culturally different from, say, Wharton or MIT's Sloan School. And within Harvard's MBA program, first-year Sections develop and maintain somewhat different norms of behavior that mark them as distinct cultures.

Each of us, therefore, is a member of multiple cultures, which may range in scope from pan-national to national to professional to social to organizational. Yet these cultural affiliations are not of equal importance in shaping our experience and behavior—some are critical in shaping our fundamental perceptions of the world and are central to our identity and values, others less so. An IBM employee who changes jobs and finds herself at Microsoft may need a few days or even months to adjust to a new way of doing things, and a soldier returning to civilian life may take some time to get his bearings, but their adjustment process is far less serious than the culture shock experienced by, say, a Cambodian immigrant who arrives in Boston for the first time, or an American who travels to Jakarta or Dakar.

Given that cultures exist at many levels, what is the best way to think about culture and international management? Since international management is, by definition, concerned with differences among nations, it makes most sense to focus on national culture. And in fact, considerable empirical research has shown that significant differences in cultural values and culturally-based behavior are found among citizens of different countries. Cultures may not coincide perfectly with nations, and citizens of a given country may differ substantially from each other, but as a first cut it is helpful to think of cultures at the national level.

Dimensions of National Culture

In what ways do national cultures vary? One anthropologist developed a list of seventy "cultural universals," elements that appear in every national culture, including practices of courtship and marriage, norms of gift giving, body adornment, hospitality, hygiene, funeral rites, and many more.³ While this comprehensive list may be helpful for the study of entire societies, it is a bit extensive for our interest in management. Two recent studies may be more helpful in showing the relationship between culture and management: the work of an American anthropologist, Edward T. Hall, and the research of a Dutch management scholar, Geert Hofstede.

Edward T. Hall: The "Silent Languages" of Culture

Edward T. Hall has conceived of culture as a means of communication which takes place through symbols, or "silent languages." He identifies five silent languages: the languages of time, space, material goods, friendship, and agreements.

a. The language of time Cultures vary in their approaches to time. Some conceive of time as linear, sequential, and rational. People in these cultures tend to be very precise about timing: they schedule activities in detail, they are punctual in keeping appointments, they take deadlines very seriously and are concerned about delays. The use of time is not only an important principle in the organization of daily life, but is an effective means of communication: matters of priority are dealt with immediately, low-priority matters may be postponed, causing others to wait is rude, and so on. In other cultures, people conceive of time in a more fluid, elastic, or even circular fashion. They take a somewhat less strict view of time, attach less precision to scheduling, and place less importance on postponement or delay. When members of these different cultures interact they may misunderstand each others' use of time. For example, members of one culture may feel insulted to be kept waiting

3. Murdock, George P., "The Common Denominators of Culture," in *the Science of Man in the World Crises*, Ralph Linton (Ed.), New York: Columbia University Press, 1945.

for thirty minutes for a scheduled appointment, whereas no slight may have been intended at all. Similarly, placing a great emphasis on deadlines and schedules may reflect, to one person, the importance of the project, whereas to someone else an emphasis on meeting deadlines may be entirely unrelated to importance.

b. The language of space Cultures vary in the way they use space. For example, each culture has a norm of social distance—the distance at which people naturally stand from each other—which conveys intimacy, friendship, or formality. These distances may vary from culture to culture, so that standing at a close distance may seem normal and sociable to one person but intrusive and uncomfortable to another. Cultures also vary in their queuing behavior—their norms about waiting in line. In some cultures, people take their place at the end of the line and patiently wait their turn, whereas in others queuing is much less orderly or formalized. Less obvious but frequently important is the use of spatial positioning to denote rank or power. In some countries, a delegation of managers will be arranged with great precision so that their positioning indicates relative rank, while in others grouping conveys nothing about rank. Not surprisingly, members of different cultures may experience difficulties when communicating through the language of space. As an example, American businesspeople often pay less attention to spatial arrangements than do their Japanese counterparts, which may be frustrating to the Japanese as they are unable to infer rank from physical position.

c. The language of material goods The use of material goods is an important medium of cultural communication, and is often used to signal status and power. Compared to other cultures, Hall observes, Americans tend to place a high degree of importance on material possessions and the accumulation of goods. This tendency has a historical origin: "Lacking a fixed class system and having an extremely mobile population, Americans have become highly sensitive to how others make use of material possessions. We use everything from clothes to houses as a highly evolved and complex means of ascertaining each other's status."⁴ In much the same way, American companies tend to denote power and prestige through the use of material possessions: a corner office, a larger desk, a company car, and a salary that is very large compared to other members of the organization. In other cultures, by contrast, less importance may be attached to material goods. In some Japanese firms, top executives share a large open office with little distinction in their physical surroundings, and salaries tend not to vary greatly. In European firms, as well, pay scales are more compressed than in the United States, perhaps reflecting a somewhat lower importance attached to material goods as an indication of status.

d. The language of friendship The ways that people develop and maintain friendships vary considerably among cultures. In some cultures, relatively low emphasis on material possessions may be matched by greater emphasis on one's personal relationships. A person is known not by what he or she owns, but by his or her place within a social network of family and friends. Because of the emphasis on these relationships, friendships may take long to develop, but are very durable and involve a strong sense of reciprocal obligation. In other cultures, friendships are made and lost more easily. A view commonly held by visitors to the United States is that Americans make friends very quickly and easily, but that their friendships are often transitory, and without the depth or endurance of friendships in the visitors' home countries.

e. The language of agreement How people express agreement and disagreement varies greatly. In some cultures, agreements tend to be explicit and spelled out in writing. An American saying

4. Hall, Edward T., "The Silent Language in Overseas Business," *Harvard Business Review*, 1960.

captures this view: "A verbal contract isn't worth the paper it's written on." In other cultures, agreements are based on trust and may be consummated with a handshake and only a brief statement. Similarly, during the process of negotiation leading up to an agreement, norms of expressing agreement and disagreement may vary widely. In some cultures, dissent is voiced quite readily: managers are not hesitant to identify terms that are unacceptable or conditions that must be met for an agreement to be consummated. In other cultures direct confrontation tends to be avoided, and subtle cues are provided to express disagreement. Rather than saying openly that a proposal is unacceptable, a manager might suggest only that the proposal "may be difficult" or that "it raises some concerns."

Hall identified these five "silent languages" in the late 1950s. As he continued his research, Hall found common patterns in the ways that people used these five languages, observing that some people tended to communicate in a relatively explicit fashion, whereas others communicate effectively with much less explicit information. In a subsequent book, co-written with Mildred Reed Hall, Hall offered the distinction between *high context* and *low context* messages. The Halls explained:

A high context (HC) communication message is one in which *most* of the information is already in the person, while very little is in the coded, explicit, transmitted part of the message. A low context (LC) communication is just the opposite: i.e., the mass of the information is vested in the explicit code.⁵

More significantly, the Halls found that some cultures tended systematically to use high context communication, while other cultures communicated mainly through low context messages. *High context cultures*, they observed, tend to place great emphasis on friends and networks, and are less formalistic in negotiations, preferring instead to rely on trust and understanding. Members of these cultures were able to communicate effectively despite the absence of much explicit coding because of a high degree of shared understanding. According to the Halls, the Japanese, Arabs, Mediterranean, and Latin cultures were all examples of high context cultures. By contrast, people in low context countries tend to be more precise, specific, and required more explicit information in order to communicate effectively. Examples of low context cultures include Anglo-Saxon countries (e.g., the United States, Great Britain, Canada, and Australia), Germans, and Scandinavians.

Hall's concepts can be helpful in illuminating the cultural behavior of a few specific countries. Perhaps because the United States is a young country, and is composed of immigrants from many different backgrounds, American culture does not rely on communication deeply embedded in cultural context. It is, as noted above, a low context culture. Americans tend to communicate in explicit terms: they value candor and frank discussion, and are likely to voice disagreement openly. (A recent biography of Harry S. Truman was called *Plain Speaking*, a trait regarded as a virtue by most Americans.) They also tend to negotiate contracts that are explicit, complete, and literal. Hall describes Americans as monochronic in their approach to time: they think of time as linear and discrete, tend to do one thing at a time, and adhere to schedules. Meeting deadlines and keeping appointments is important; keeping someone waiting is a sign of disrespect. As noted above, Americans tend to place a great emphasis on material goods, and make friends easily and casually, reflecting the absence of a fixed social structure.

5. Hall, Edward T. and Mildred Reed Hall, *Understanding Cultural Differences*, Yarmouth, ME: Intercultural Press, 1990.

French culture, by contrast, is a relatively high context culture. Relationships and social contacts are of great importance. Negotiations are often preceded by a lengthy process of building trust, often with dinners and lunches that are not merely occasions to discuss business but have a ceremonial quality. According to Hall, the French have a polychronic approach to time: they often do many things at once, they tolerate interruptions, they love to talk and communicate with gestures and body language as well as with words. Because the French are polychronic, Hall continues, they may not adhere to schedules as strictly as Americans, and may change plans without much notice.

Japan is a very high context culture, with effective communication possible through relatively little explicit information. An example of high-context Japanese communication is *haragai*, a form of guttural speech that seems hardly intelligible to a Westerner but is an effective medium of communication among Japanese. Typical of a high context culture, in which relatively less overt communication is needed, Japanese negotiations are conducted without explicit statements of agreement and disagreement—in fact, to make an overt and blunt statement when subtle communication would suffice is abrupt and rude. Not surprisingly, this way of expressing agreement and disagreement has at times led to problems of communication. Americans often complain that the Japanese are reluctant to voice direct disagreement—they appear not to say "no." Whereas it is true that the Japanese prefer not to say "no" in the explicit fashion preferred by Americans, it is not correct to say that they do not express disagreement. It would be more accurate to say that their high-context expressions of disagreement are difficult for members of low-context cultures to understand.

Geert Hofstede: Indices of Work-related Values

Some of the most influential research about national culture has been conducted by Geert Hofstede, a Dutch management scholar. Hofstede studied a rich data set in which thousands of employees at IBM in more than forty countries answered questions about their jobs and work settings. By analyzing their responses, Hofstede identified systematic differences among countries. He distilled four basic dimensions of work-related values, which he termed *individualism/collectivism*, *power distance*, *uncertainty avoidance*, and *masculinity/femininity*. Countries could be classified along these four dimensions to produce a profile of their work-related values.

a. Individualism/collectivism Individualism describes a tendency of people to see themselves as individuals rather than as members of a group. In individualistic cultures, members tend to be concerned with personal achievement, with individual rights, and with independence. In collectivistic cultures, people tend to see themselves first and foremost as part of a group, and may be more concerned about the welfare of the group than about individual welfare. They may value harmony and equality above personal achievement, and may be more concerned about an obligation and duty to other members of the group than about individual rights.

b. Power distance Power distance captures the degree to which members accept an uneven distribution of power. In high power distance cultures, a wide gap is perceived to exist among people at different levels of the hierarchy. Subordinates accept their inferior positions, and are careful to show proper respect and deference to their bosses. Managers, in turn, may issue directives rather than seek broad participation in decision making. In low power distance countries, managers may be less concerned with status and more inclined to allow participation, and their employees may be less deferential and more willing to speak out.

c. Uncertainty avoidance Uncertainty avoidance describes the extent to which people seek to avoid, or feel threatened by, ambiguous or risky situations. Individuals in cultures characterized by

high uncertainty avoidance may be risk averse in trying new ways of doing things, in starting new companies, in changing jobs, or in welcoming outsiders. They may tend to emphasize continuity and stability rather than innovation and change. In cultures of low uncertainty avoidance, members may more readily embrace change, may show more initiative, and may be more accepting of different views and new ideas.

d. Masculinity/femininity Hofstede used the term "masculinity" to represent a cultural preference for achievement, assertiveness, and material success, and "femininity" to describe a greater importance placed on maintaining relationships, on caring for members, and on a high quality of life. In so-called masculine countries, work-related values tend to favor achievement and competition. In so-called feminine countries, firms provide more extensive services for the well-being of members, and emphasize overall welfare rather than bottom-line performance.

Based on the analysis of his data set, Hofstede calculated a score for 40 different countries on each of these four dimensions. These scores, he stressed, have no absolute value, but are useful only as a way to compare countries. **Table A** shows the scores for twenty countries.

Table A Work-related Values for 20 Selected Countries

	Power Distance	Uncertainty Avoidance	Individualism	Masculinity
Argentina	49	86	46	56
Australia	36	51	90	61
Brazil	69	76	38	49
Canada	39	48	80	52
Denmark	18	23	74	16
France	68	86	71	43
Germany (F.R.)	35	65	67	66
Great Britain	35	35	89	66
Indonesia	78	48	14	46
India	77	40	48	56
Israel	13	81	54	47
Japan	54	92	46	95
Mexico	81	82	30	69
Netherlands	38	53	80	14
Panama	95	86	11	44
Spain	57	86	51	42
Sweden	31	29	71	5
Thailand	64	64	20	34
Turkey	66	85	37	45
United States	40	46	91	62

Adapted from: *Culture's Consequences*, Beverly Hills: Sage, 1980

As shown in **Table A**, the highest scores for power distance were found in the Latin American countries of Panama (95) and Mexico (81), while the lowest scores were found in the Scandinavian countries of Sweden (31) and Denmark (18), and in Israel (13). Greatest uncertainty avoidance was found in Japan (92) and Spain (86); the lowest scores were again registered in Sweden (29) and Denmark (23). Anglo-Saxon countries scored highest in individualism: the United States (91), Australia (90), and Great Britain (89); whereas the lowest scores came from the Asian countries of Thailand (20) and Indonesia (14). Finally, Hofstede found that Japan rated highest in masculinity (95), while the lowest scores were found in the Netherlands (14) and Sweden (5).

Hofstede's findings, published in 1980, offered important evidence that cultures have clear patterns in their work-related values.⁶ Furthermore, the four indices he developed seemed to do a good job of capturing the most important differences among cultures. With the increasing power of East Asian economies during the early 1980s, however, Hofstede wondered if his four indices had adequately captured what he perceived as the distinctive cultural characteristic of East Asian cultures: diligence, patience, and frugality. Based on further research, Hofstede added a fifth dimension which he called Confucianism. Not surprisingly, countries such as Singapore and Taiwan scored high on this index.

Although Hofstede's research has been very influential, it has numerous shortcomings.

- Hofstede's sample was drawn entirely from employees of one company—IBM. Employees of a single company surely do not constitute a random sample of citizens, and probably do not capture fully the traits of their countrymen. Whether Hofstede's findings accurately describe the work-related values in the forty countries he examined, or whether they merely describe the values of the IBM employees in those countries, is open to question.
- Although the initial survey contained dozens of questions, Hofstede's dimensions were ultimately based on the responses to a very few questions, raising doubts about the robustness of the dimensions. Adding or amending a few questions might significantly alter the results.
- Some of the indices are well-grounded in theory, but others are less clear. Individualism, for example, is a concept that has been widely researched in social psychology and is generally accepted as a meaningful concept. By contrast, masculinity/femininity is less clear: companies that show a high concern for the welfare of their employees are often called "paternalistic," yet are somehow "feminine" in Hofstede's view. Hofstede's use of gender-based terms seems to obscure as much as it illuminates. Quite apart from the name Hofstede has chosen to give this index, it is questionable that Japan should emerge as the most "masculine" of all countries, given its traditionally high concern for employees and the importance it has placed on group harmony. Similarly, it is not clear that uncertainty avoidance is a single index rather than a composite of several underlying values. Americans may be low in uncertainty avoidance when it comes to starting a new company or changing jobs, but they tend to be rather high in uncertainty avoidance when it comes to wanting clarity in job descriptions and seeking explicit language in contracts. Whether it makes sense to combine these rather different tendencies into a single index, described by a single score, is questionable. A better approach might be to distinguish among a few aspects of uncertainty avoidance and to measure each one.

In sum, Geert Hofstede's research has made a major contribution to our thinking of culture and management, but should not be taken as the final word on the subject. And to be fair, Hofstede never intended that his work should be the final word about culture in management, but expected others to refine and expand upon his work. If his findings are too often cited, and his four indices

6. Hofstede, Geert, *Culture's Consequences: International Differences in Work-Related Values*, Beverly Hills, CA: Sage Publications, 1980.

are overused, the problem lies not with Hofstede but in the uncritical way that others have accepted his findings rather than conducting their own research.

Culture in Management Settings

The research undertaken by Edward Hall and Geert Hofstede has been helpful in identifying specific ways that cultures vary. They are not the only ways to think about cultural differences, but are a good place to begin. They have been important in showing that culture is not some vague, ill-defined concept, but can be shown to have specific dimensions that vary across countries.

What, then, are the lessons for managers? Where might these differences manifest themselves in business settings? Broadly speaking, we can think of culture as manifesting itself in two places: in the interactions between firms, and in the interactions among people within a firm.

Interactions between firms

Much of business involves interactions between firms, such as negotiations with suppliers, dealings with customers, and collaborative activities such as joint ventures and strategic alliances. When these interactions take place across national lines, they may be greatly affected by the cultural behavior of the participants. Successful outcomes may depend on the abilities of individuals to communicate effectively with each other.

A first concern emerges at the early stages of interaction, when relationships are developed. In many countries, the specifics of business negotiation can only be broached after a basis of trust and mutual respect has been developed. The process of building trust may take days, weeks, or longer—and cannot easily be accelerated. Americans, who often prefer to "get down to business" without much in the way of relationship building, may need to adjust their behavior and allow for the development of trust. They should see such interaction not as a mere formality or as an unfortunate waste of time, but as a way to understand a potential business partner and as a way to build a beneficial relationship. Investing time and effort during this stage may pay dividends later in terms of confidence and trust.

Once involved in active negotiations, it is important to pay attention to the "silent languages" of time and of agreement. A manager might ask himself or herself: do I have an implicit expectation of the time it should take to reach an agreement? Am I imposing a deadline on the proceedings? If so, perhaps exercising greater patience and allowing the pace of negotiations to develop at its own speed would yield better results. How agreement and disagreement are expressed is also important. The manager might ask: how am I used to voicing disagreement or dissatisfaction? In the United States, where candor is a virtue, it might be effective to state one's position explicitly, but in another culture explicit communication may be seen as abrupt and even rude. Phrasing disagreement in a discrete way might still be effective while not upsetting the relationship.

The specificity with which a contract is drawn up may also be important. Americans, coming from a low-context culture, tend to care about the letter of the law, and seek precise terms and clauses to cover explicitly all aspects of the agreement. The result is often a very clear and precise legal document. In some other countries, a shorter agreement, with less emphasis on the explicit terms and more weight on trust and mutual obligation, may be the norm. It may be difficult to word a contract in a way that is comfortable to both sides, but at least it should be recognized that the reluctance of

another party to word contracts in explicit language is not necessarily an indication of evasiveness or duplicity, but a reflection of their cultural norms.

Interactions within firms

An entirely different set of cross-cultural issues arises when managing people from multiple cultures within a single organization. Any organization that is composed of members from different cultures, or has affiliates in more than one country, is likely to encounter some challenges in managing cross-cultural relations. Some of the most important issues have to do with power relationships, with norms of participation and decision making, and with views about motivation, performance evaluation, and compensation.

One of the most important aspects of any organization has to do with power relations among members. Cultures described by Hofstede as low in power distance tend to be relatively egalitarian, with relatively few distinctions among members of an organization according to hierarchy, while cultures relatively high in power distance observe greater differences in status. When members of an organization follow the same norms of power distance their interaction may be smoothest, but problems can arise when employees in a single organization have very different ideas about status and hierarchy. For example, one U.S.-based multinational firm instituted a policy that made employees responsible for initiating career development discussions with their managers. The policy was effective in the United States, where employees were relatively comfortable in raising this issue with their managers, but was totally ineffective in foreign subsidiaries where subordinates were much more reticent in initiating discussions with their superiors. It made sense in low power distance countries, but not in high power distance countries. The firm therefore had to adapt its approach to career development to the cultural norms of its various host countries.

Many American firms take the view that employees are primarily motivated by rewards for individual performance rather than for group performance. This approach may be particularly successful in highly individualistic cultures, but may be less effective in cultures that place a greater emphasis on the collective. In collectivistic cultures, the emphasis on preserving group harmony may be more important than rewarding the individual—indeed, rewarding one person more than another may be a source of embarrassment and chagrin. Rewarding individual behavior may also have unanticipated consequences, as in the anecdote about a servant boy in India who, upon receiving a raise in pay for a job well done, sent his brother in his place the next day. Far from being encouraged to work harder once he had received his raise, the boy's response was to spread the benefit to another member of his family—his collective social unit. Rewarding the individual for his efforts had wholly unexpected results.⁷

Another difference between individualistic cultures and collectivistic cultures was shown by P. Christopher Earley in his study of social loafing.⁸ In the United States, loafing is often encountered in the so-called "free rider" problem—the notion that individuals in group settings are tempted to slack off and let others carry the load. To minimize this problem, we often subdivide groups or otherwise structure work in such a way that individuals are held accountable for specific tasks. This approach may make sense in individualistic cultures, but may not be effective in collectivistic cultures, where people feel great responsibility toward each other and to the performance of the group. Earley found

7. Adler, Nancy J., *International Dimensions of Organizational Behavior*, Boston, MA: Kent Publishing, 1987.

8. Earley, P. Christopher, "East Meets West Meets Mideast: Further Explorations of Collectivistic and Individualistic Work Groups," *Academy of Management Journal*, Vol. 36, No. 2, 1993.

that in collectivistic cultures, people tend to work *hardest* when they are part of a group, as they seek to meet the expectations of the collective, quite the opposite of the free-rider problem encountered in individualistic cultures. Earley also found that people from collectivistic cultures tended to loaf the most when they are assigned individual tasks, as the stimulus of group pressure is missing. The free-rider problem, often thought to be universal, turns out to be very much related to cultural norms.

How Important is Culture, Really?

Most of this note has been devoted to describing ways that cultures differ, and to showing how these differences may be manifested in management settings. It has been argued that cultural differences are real and that they are manifested in many aspects of management, both between firms and within firms. But as noted at the outset, the importance of culture in management can be overestimated just as easily as it can be underestimated. We should therefore ask ourselves: how important is culture, *really*? Is it among the most important things that a manager has to understand, or are there times when it might be low on the list of practical concerns?

To answer this question, it is useful to distinguish between two elements of management: technical systems and social systems.⁹ Technical systems are comprised of mechanical, mathematical, or otherwise inanimate variables, and include financial models, systems of process control, and manufacturing systems, to name a few. Because they do not involve human behavior or interactions among people, they are unaffected by cultural differences. By contrast, such things as leadership, human resource management, and negotiations, are inherently social and may be strongly affected by culture.

As a first caveat, then, national cultural is of little importance to technical systems, and affects only social systems. Furthermore, the real importance of culture in social systems can vary. In some cases, cultural differences may be little more than a minor obstacle, or even a source of amusement. Although we commonly think of cultural differences as a *cause* of poor performance, some recent evidence suggests that "cultural problems" may just as easily be a *symptom* of firm performance.¹⁰ Consider, for example, a French corporation which recently acquired two American firms. In one of the acquisitions, managers reported that cross-cultural frictions had been a major problem, while in the other acquisition neither French nor American managers seemed troubled by any cultural differences. Upon closer examination, it was found that the former acquisition involved a business that had been performing poorly, was generating low profits, and was facing sharp cutbacks. Quite possibly the difficult business situation created a tense climate which was attributed to culture. The latter acquisition, by contrast, involved a healthy business unit, with high growth and excellent profitability, and no mention was made of cultural problems. In fact, cross-cultural frictions might not have been very important in *either* acquisition, but became a convenient target of blame in an acquisition that was performing poorly for entirely separate reasons. This example suggests that although it is important to be attuned to cultural differences and to be sensitive to their potential influence in business, we should be careful not to make sweeping attributions wherever we find problems, or to assume that any cross-cultural situation inevitably leads to difficulties.

9. For more on the distinction between technical and social systems, and the ways that culture may affect them, see Rosenzweig, Philip M., "When Can Management Science Be Generalized Internationally?," *Management Science*, Vol. 40, No. 1, January 1994.

10. Kanter, Rosabeth Moss, and Richard Ian Corn, "Do Cultural Differences Make a Business Difference?: Contextual Factors Affecting Cross-Cultural Relationship Success," *Journal of Management Development*, Winter 1994.

Conclusion

This note has offered a systematic way to think about culture and its role in management. It has identified some of the differences that exist among national cultures and has shown how they are manifested in managerial settings. Rather than embrace either extreme view—that culture is of no consequence in management, or that it is always of great consequence—this note has tried to show how and when culture may be important. The result, it is hoped, is a more balanced and practical understanding of culture and management.

As more and more business is conducted across national lines, managers will need to develop a better understanding of national culture and its role in management. Rather than merely acknowledging that people from another national culture are "different" in some undefined way, managers should be able to identify specific ways in which various cultural groups may exhibit distinctive behavior. Just as importantly, they should develop an awareness of their own cultural behavior. They should ask: what are *my* implicit assumptions about time, about expression of agreement and disagreement, about individualism, and about power distance? How do my cultural norms manifest themselves in the ways that *I* behave in a business setting? How am *I* likely to be perceived by someone from another country? Culture, after all, is not something that only affects the behavior of others, but is a basic component that shapes each of us.